

an unmanaged contraction is essential in order to maintain social and political order. At the same time, there needs to be well thought-out debt restructurings because we can no longer allow our debts to rise faster than our incomes, and we need to gradually lower them.

If you do more fiscal spending, it would further increase the debt. We are dependent on foreign capital to buy our debt. Isn't there a risk that increasing the debt further through fiscal stimulus might scare away foreign buyers of U.S bonds?

There sure is. That is why it is very important that the fiscal spending is used for investments that generate returns that are greater than their costs. We can't afford to waste money.

Do you mean the spending should be focused on things such as infrastructure?

Yes, put idle people to work on useful projects. It is also socially good. I think it is very bad for society for people to be out of work for very long periods.

It is also a false saving. You are paying unemployed workers unemployment insurance and providing other safety net expenditures, and generating nothing in return. Whereas if you pay people to build bridges and repair roads, at least you're getting something out of it, and it has a multiplier effect.

That's right. I don't like the giving-money-away option because it will devalue the currency and cause investors to run away from U.S. assets. The government should try to make the expenditures a good investment.

Do you see a danger of the printing of money leading to inflation risk?

Not over the next couple of years. However, longer term, whenever a country has a balance of payments deficit and depends on foreign capital, there is a risk that foreign investors will pull back if they fear currency weaknesses as a result of the increased printing of money. The first sign of such a shift is a shortening of the duration of bonds bought by foreigners, which further tightens credit. Such a response occurred in 1931 to 1933 when interest rates went up, even though we were in a deflationary depression. Under these circumstances, the central bank will